



### CHAPTER xiii.

An Act to effect a combination of the undertakings of the Pelican Life Insurance Company and the British Empire Mutual Life Assurance Company and for other purposes. A.D. 1903.  
[30th June 1903.]

**W**HEREAS the Pelican Life Insurance Company (hereinafter called “the Pelican”) was established in 1797 for the purpose of granting insurances on lives and survivorships and securing portions for children :

And whereas the Pelican was reconstituted by the Pelican Life Insurance Company’s Act 1891 and subsequently adopted pursuant to the said Act new laws for defining its objects and new regulations for its government and for the management of its affairs :

And whereas the Pelican was in pursuance of Part VII. of the Companies Act 1862 in the month of October 1901 duly registered under the Companies Acts 1862 to 1900 :

And whereas the capital of the Pelican was by the said Act fixed at £1,000,000 divided into 100,000 shares of £10 each with power to issue additional capital as therein mentioned :

And whereas the whole of the shares in the capital of the Pelican have been issued and are now held by the members thereof and the sum of £1 per share and no more has been paid up thereon :

And whereas the British Empire Mutual Life Assurance Company (hereinafter called “the British Empire Company”) was established in the year 1847 by deed of settlement and became subject to the provisions of the British Empire Mutual Life Assurance Act 1852 and was subsequently registered under the Companies Acts 1862 to 1883 :

And whereas by an order of the High Court of Justice dated the 1st day of February 1896 and made under the provisions of the

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A.D. 1903. Companies (Memorandum of Association) Act 1890 a memorandum and articles of association were substituted for the said deed of settlement and such memorandum and articles were subsequently registered pursuant to the provisions of the said Act and the registrar of joint stock companies duly certified such registration :

And whereas in the year 1896 the British Empire Company took over the business of the Positive Government Security Life Assurance Company Limited (hereinafter called "the Positive") on the terms of an agreement dated the 22nd day of October 1895 and made between the Honourable Edward Roden Bourke on behalf of the Positive of the one part and the Right Honourable Sir John Eldon Gorst on behalf of the British Empire Company of the other part which agreement was duly sanctioned and confirmed by Order of the High Court dated the 7th day of March 1896 :

And whereas the said agreement was subsequently modified by an agreement dated the 9th day of March 1897 and made between the Positive of the one part and the Honourable Edward Roden Bourke and others of the second part and the British Empire Company of the third part which agreement was also sanctioned by order of the High Court of Justice dated the 26th day of March 1898 :

And whereas under the said agreements (hereinafter called "the Positive Agreements") a fund called the Positive Fund has been established and such fund comprises divers funds regulated by trust deeds (hereinafter called "the Positive Trust Deeds") :

And whereas the British Empire Company has a premium income of more than £270,000 per annum and has assets exceeding £3,000,000 :

And whereas proposals have been suggested for the transfer of the undertaking of the British Empire Company to the Pelican and these proposals are set forth in the memorandum of terms contained in the First Schedule hereto :

And whereas the said Companies have been actuarially advised that the adoption of the proposals aforesaid would be to their advantage :

And whereas it is expedient that the Pelican should be empowered to take over and that the British Empire Company should be empowered to make over the said assets and business on the terms of the said proposals and that effect should be given to the said proposals :

And whereas it is desirable to provide for the substitution of a memorandum and articles of association in the terms set forth in

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the Second Schedule hereto for the present laws and regulations of A.D. 1903.  
the Pelican :

And whereas it is expedient to repeal the Pelican Life Insurance Company's Act 1891 and the British Empire Mutual Life Assurance Act 1852 :

And whereas the objects of this Act cannot be attained without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say) :—

1. This Act may be cited as the Pelican and British Empire Life Office Act 1903. Short title.

2. This Act shall come into operation on the first Tuesday after its passing which date is hereinafter referred to as "the commencement of this Act." Commence-  
ment of Act.

3. In this Act "the memorandum of terms" means the said proposals set forth in the First Schedule hereto and "the British Empire Fund" means the British Empire Fund referred to in the memorandum of terms and in this Act and in the memorandum of terms "the Combined Office" means the Pelican by its new name hereinafter mentioned. Interpreta-  
tion.

4. On and after the commencement of this Act the name of the Pelican shall be "Pelican and British Empire Life Office" and the memorandum and articles of association set forth in the Second Schedule hereto shall subject to the provisions of the Companies Acts 1862 to 1900 (including the powers as regards alteration contained in those Acts) be the memorandum and articles of association of the Combined Office in substitution for the existing laws and regulations of the Pelican made pursuant to the Pelican Life Insurance Company's Act 1891 and shall be treated as having been registered accordingly and all the provisions of the said Act (save so far as the same shall be re-enacted herein) shall be and the same are by this Act repealed. As to name  
and memo-  
randum &c.  
of Combined  
Office.

5. The memorandum of terms is by this Act made binding on the Combined Office and on the British Empire Company and the holders of British Empire policies and annuity contracts and on the members of both companies and on all other persons interested and shall be carried into effect accordingly. Confirmation  
of terms.

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Dissolution  
of British  
Empire Com-  
pany.
- 6.** From and after the commencement of this Act the British Empire Company shall wholly cease to undertake any new business in the way of life assurance or otherwise and when the transfer of the assets of the British Empire Company has been completed pursuant to the memorandum of terms the British Empire Company shall ipso facto be dissolved and the British Empire Mutual Life Assurance Act 1852 shall be and the same is hereby repealed. A certificate in writing under the hands of a majority of the directors of the Combined Office that the transfer aforesaid has been completed shall when filed with the registrar of joint stock companies be conclusive evidence thereof.
- As to debts  
&c.
- 7.** On and after the commencement of this Act the Combined Office shall be subject and liable in accordance with the memorandum of terms to all the debts liabilities and engagements of the British Empire Company.
- Actions to  
continue.
- 8.** Nothing in this Act shall cause the abatement or discontinuance of or in anywise prejudicially affect any action arbitration or other proceeding or cause of action arbitration or proceeding pending or existing by or against the British Empire Company either solely or jointly with any other company or person immediately before the commencement of this Act but the same may be continued and enforced by or in favour of or against the Combined Office to the same extent as the same might have been continued or enforced by or in favour of or against the British Empire Company if this Act had not been passed.
- As to officers  
&c.
- 9.** Subject to the provisions of the memorandum of terms all officers and persons who have or after the commencement of this Act have in their possession or under their control any books documents papers or effects belonging to the British Empire Company or to which the British Empire Company but for this Act would be entitled shall account for and deliver up the same to the Combined Office or to such persons as the directors of the Combined Office appoint to receive the same in like manner and subject to like consequences on failure so to do as if those officers and persons had been appointed by and become possessed of the books documents papers or effects for the Combined Office.
- As to books.
- 10.** All books and documents which if this Act were not passed would be evidence in respect of any matter for or against the British Empire Company shall be admissible as evidence in respect of the same or the like matter for or against the Combined Office.

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**11.** The paid-up capital shall be permanently maintained by the Combined Office at not less than one hundred thousand pounds and if at any time the paid-up capital of the Combined Office shall be reduced below the sum of one hundred thousand pounds then and in every such case the amount by which the said fund shall have been reduced shall as soon as reasonably practicable be replaced by calling up instalments on the shares of the members of the Combined Office or by the issue of fresh shares as the directors may deem expedient in the interests of the Combined Office.

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As to paid-up capital.

**12.** The Combined Office shall deliver to the registrar of joint stock companies a printed copy of this Act and he shall retain and register the same and if such copy is not so delivered within three months from the passing of this Act the Combined Office shall incur a penalty not exceeding two pounds for every day after the expiration of the said three months during which the default continues and any director or manager of the Combined Office who knowingly and wilfully authorises such default shall incur the like penalty Every penalty under this section shall be recoverable summarily There shall be paid to the said registrar by the Combined Office on such copy being registered the like fee as is for the time being payable under the Companies Act 1862 on registration of any document other than a memorandum of association.

Act to be registered.

**13.** Nothing in this Act shall be deemed to exempt the Combined Office from the provisions of the Life Assurance Companies Acts 1870 to 1872 or from those of any general Act passed during the present or any future session of Parliament affecting life assurance companies formed previously to the passing thereof.

Saving for general Acts.

**14.** The costs charges and expenses preliminary to and of and incidental to procuring obtaining and passing this Act shall be paid by the Combined Office.

Costs of Act.

A.D. 1903.      The SCHEDULES referred to in the foregoing Act.

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FIRST SCHEDULE.

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MEMORANDUM OF TERMS mutually suggested for a combination of the undertakings of THE BRITISH EMPIRE MUTUAL LIFE ASSURANCE COMPANY (hereinafter referred to as "the British Empire Company") and THE PELICAN LIFE INSURANCE COMPANY (hereinafter referred to as "the Pelican").

1. In these terms the expressions following shall have the meanings hereinafter set forth (that is to say) "the Act" means the Act to be passed adopting and making binding these terms "British Empire policies and annuity contracts" means policies of insurance and annuity contracts granted or entered into by the British Empire Company and in force or liable to be revived at the time by the above Act fixed for the commencement thereof and also policies of insurance and annuity contracts in respect of which the British Empire Company shall then be liable and also policies of insurance and annuity contracts granted after the commencement of the said Act in substitution for any British Empire policies or annuity contracts under the powers herein contained "Participating policy holders of the British Empire Company" means the owners for the time being and from time to time of policies of the British Empire Company conferring the right to participate in profits "The British Empire Fund" means the fund with that name to be established as hereinafter provided including the Positive Fund section as hereinafter defined "The Positive Fund" means the fund with that name established pursuant to the agreements between the British Empire Company and the Positive Government Security Life Assurance Company Limited dated the 22nd October 1895 and 9th March 1897 "Positive Fund liabilities" means all the liabilities payable out of the Positive Fund.

2. Forthwith after the day fixed by the Act for the commencement thereof the British Empire Company shall transfer to the Combined Office—

- (1) The goodwill of the British Empire Company's business and the full benefit of the working organisation of that company and of all existing agency agreements and of all agreements with the staff of the British Empire Company and all books papers and documents relating to the business of the British Empire Company:
- (2) The Positive Fund and the benefit of the Positive agreements:

- (3) All the other assets whatsoever and wheresoever of the British Empire Company. A.D. 1903.

3. The assets specified in the last preceding clause are to be transferred—

- (1) As to the assets comprised in paragraph (1) of that clause to the Combined Office absolutely :
- (2) As to the assets comprised in paragraph (2) of the said clause the same are to be transferred and taken over subject as hereinafter provided and are to be carried to and form part of the British Empire Fund :
- (3) As to the assets comprised in paragraph (3) of the said clause the same are to be carried to and form part of the British Empire Fund.

4. A fund for the protection and sole benefit of the British Empire policy holders and annuitants and others is to be established by the Combined Office and is to be called the British Empire Fund and such fund is to be vested in the Combined Office as trustee for the purposes hereinafter mentioned and is to consist of—

- (a) The assets to be transferred in accordance with paragraphs (2) and (3) of clause 2 hereof ;
- (b) All proceeds arising from sales exchanges and other dealings with the British Empire Fund ;
- (c) All assets acquired with assets of the British Empire Fund ;
- (d) All income arising from assets for the time being of the British Empire Fund ;
- (e) All premiums and other payments received in respect of British Empire policies and annuity contracts for the time being subsisting ; and
- (f) All sums received in respect of any compromise arrangement modification substitution or other dealing in relation to British Empire policies and annuity contracts.

5. The British Empire Fund is to be kept separate from the general assets of the Combined Office and is to be regarded as a trust fund applicable for the benefit of those entitled to British Empire policies and annuity contracts and other persons towards whom the British Empire Company is under liability and accordingly out of the British Empire Fund the Combined Office is from time to time and in due course to pay satisfy and discharge all claims and moneys from time to time payable in respect of the British Empire policies and annuity contracts and all sums payable in respect of compromises surrenders or otherwise in relation to British Empire policies and annuities and all sums payable to the Combined Office by way of recoupment as hereinafter provided and all premiums on re-insurance policies effected in relation to any British Empire policies or annuity contracts and all claims liabilities pensions and allowances payable by the said British Empire Company under the Positive agreements and all sums from time to time payable to the Combined Office or otherwise by way of contribution to

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6. The Combined Office is to become liable in the place of the British Empire Company upon and in respect of all the debts liabilities contracts and engagements of the British Empire Company including its policies and annuity contracts but upon the footing that its liability is primarily to pay out of the British Empire Fund and if this shall be insufficient or exhausted then out of its own funds and property.

7. Out of the premiums of each year received in respect of the British Empire policies for the time being subsisting there is to be paid to the general funds of the Combined Office as from the commencement of the Act as a contribution by the British Empire Fund towards the expenses of management and commission to agents for that year 10 per cent. on the premium income of the British Empire policies brought into the revenue accounts of that fund for that year and the term "premium income" in this clause is to be understood to refer to the gross premium income after deduction of any re-insurance premiums and regard being had to this contribution the Combined Office out of its general assets is to pay the expenses of managing the British Empire Fund and commission to agents.

8. If from any temporary cause it shall be deemed expedient by the directors of the Combined Office to apply any part of the general assets of the Combined Office to satisfy any claims and sums of money properly payable out of the British Empire Fund that fund is to be liable to make good to the Combined Office any moneys so taken from the general assets of the Combined Office with interest thereon at such rate not exceeding 4 per cent. per annum as the directors of the Combined Office from time to time may fix but this provision is to be without prejudice to the rights of those who have any claims as holders of British Empire policies or annuity contracts or as creditors of that company or otherwise to have their claims satisfied by the Combined Office when and if and as often as from any cause the British Empire Fund shall be insufficient or not ready for answering the same.

9. The British Empire Fund is to be under the management and control of the directors for the time being of the Combined Office and in managing such fund the said directors shall have—

- (1) Powers as regards investment and variation and transposition of investments similar to those which the directors of the Combined Office shall have under the memorandum and articles of association of the Combined Office proposed to be adopted by the Act:
- (2) Power to make or assent to any arrangement as to the surrender or modification of any British Empire policies or annuity contracts:



- (3) Power to compromise and settle all claims in respect of British Empire policies or annuity contracts : A.D. 1903.
- (4) Power to exercise all the rights powers and discretions of the British Empire Company under the Positive agreements :
- (5) Power to take resist or defend any legal proceedings in the interest and at the cost and expense of the British Empire Fund :
- (6) Power to make out of the British Empire Fund all payments (if any) properly incurred in relation thereto not being expenses of management or commissions to agents :
- (7) Power generally to act in the management and working of the British Empire Fund as they may think expedient.

10. The directors of the Combined Office shall at intervals of not more than five years cause actuarial valuations to be made of the liabilities of the British Empire Fund in respect of assurance annuity and other contracts and at like intervals shall themselves with such expert assistance as they deem requisite estimate the value of the assets of the British Empire Fund at such prices as they in their judgment shall deem proper and expedient according to the circumstances at the time of making such estimate And after making provision for such liabilities as aforesaid and any special or other reserves they may think fit the directors aforesaid shall at a special board meeting declare what amount of the surplus (if any) of such assets after such deductions may in their opinion be fairly divided by way of bonus and shall apportion the amount so declared by way of bonus either vested or contingent among the holders of such policies entitled to participate as were in force or liable to be revived on the day up to which such actuarial investigation is made on such principles and by such methods as they may from time to time determine And the directors aforesaid may allot in respect of any participating policies in any sections or classes of policies a different rate or scale of bonus to that allotted to participating policy holders in other sections or classes regard being had to the rates of premium paid in respect of such policies to the mortality experienced in the respective sections or classes or to such other circumstances as the directors aforesaid may deem material And the directors aforesaid may if they think fit declare and pay any interim bonuses between any two actuarial valuations at such rates and upon such methods as they may determine Provided always that the total amount of bonus and the amount to which any policy holder may be entitled under any mode of application shall be determined by the directors aforesaid whose decision thereon shall be final and conclusive.

11. Whenever the directors of the Combined Office have declared a bonus out of the British Empire Fund as aforesaid the declaration is to be announced at a general meeting of the holders of British Empire policies (other than Positive policies) entitled to participation in the profits and every such meeting is to be convened in manner following that is to say by fourteen days' public notice at least to be given by advertisement in three daily newspapers printed and circulated in London or Westminster and by notice to be posted up in some conspicuous part of the entrance hall or lobby

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A.D. 1903. of the principal office or place of business of the Combined Office for fourteen days prior to the time of the meeting and such notice is to specify the place day and hour of meeting.

12. No new policy or annuity contract is to be granted or entered into after the commencement of the Act with reference to the British Empire Fund save that the directors of the Combined Office may upon a surrender of any British Empire policy or annuity contract issue in substitution any policy or annuity with reference to the British Empire Fund but every such policy or contract issued in substitution must expressly state that it is issued or entered into with reference to the British Empire Fund.

13. The right of participating policy holders of the British Empire Company to participate in profits is to be confined to a right to participate in the profits of the British Empire Fund exclusive of the Positive Fund section thereof and the right of participating policy holders whose policies form part of the Positive Fund liabilities is to be confined to the right to participate in the profits of that fund in accordance with the Positive agreements.

14. If at any time after the commencement of the Act the directors of the Combined Office shall be actuarially advised that by reason of the policies remaining chargeable upon the British Empire Fund having become so far reduced in number it would be for the benefit of the holders thereof that a wider average of risks should be obtained then the directors may arrange for a re-insurance of such remaining policies with any of the other departments of the Combined Office on terms and conditions as regards future bonuses and otherwise which shall be certified as equitable by the president for the time being of the Institute of Actuaries or by some other independent actuary of repute appointed by the directors.

15. Notwithstanding the foregoing provisions the transfer of the Positive Fund is to be without prejudice to the provisions of the Positive trust deeds and of the Positive agreements (save that the Combined Office is in relation thereto to stand in the place of the British Empire Company) and accordingly until the liabilities and obligations of the Positive Fund under those agreements have been discharged and performed the Positive Fund (though forming part of the British Empire Fund) is to be kept separate as provided by those agreements and trust deeds and the investments thereof for the time being are to remain vested in trustees in accordance with the Positive trust deeds Provided always that as between the Positive Fund and the other assets of the British Empire Fund the Positive Fund liabilities are to be primarily payable out of the Positive Fund and if and so far as that fund shall be insufficient or exhausted then out of the other assets of the British Empire Fund.

16. The general manager officers and staff of the British Empire Company are to be taken over by the Combined Office on their present terms as to remuneration and otherwise and are accordingly to be subject in all respects to the control of the directors of the Combined Office The general

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manager of the Pelican James Sorley shall from the commencement of the said Act retire on a pension of two-thirds of his present salary provided that upon the request of the Combined Office he shall covenant with that office that he will not at any time accept office with any other company transacting life insurance business. As from the retirement of the general manager of the Pelican the general manager of the British Empire Company shall become general manager of the Combined Office if he shall agree to serve as such general manager for a period of ten years at least and should his services be dispensed with at any time during that period or should he retire or his services be dispensed with subsequently to that period he is to be granted a retiring allowance for his life at the annual rate of one-sixtieth part of his salary at the time of his so ceasing to be general manager for each year of service reckoned from the 1st day of January 1877. Provided that upon the request of the Combined Office he shall covenant with that office that he will not at any time accept office with any other company transacting life insurance business.

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17. The Combined Office is to undertake as regards each other member of the head office staff of the British Empire Company with whom an agreement as to pension has not already been entered into that without prejudice to the powers of the Combined Office to terminate the engagement of any employé under its general regulations on his attaining the age of 65 years and being still in the employment of the Combined Office that office will grant him a retiring allowance at the annual rate of one-sixtieth of his salary at the time when he ceases to be employed by the Combined Company for each year's service reckoned from the time of entry upon the service of the British Empire Company but in no case shall the allowance exceed forty-sixtieths of the said salary.

18. The directors of the British Empire Company in office at the commencement of the Act shall become directors of the Combined Office from the commencement of the Act in addition to the other directors of the Combined Office and shall not be subject to retirement by rotation nor to re-election by the proprietors of the Combined Office but shall continue directors until disqualified under the proposed new articles of association of the Combined Office nevertheless the qualification of each person who is pursuant to this provision to become a director of the Combined Office shall be that he shall be the holder of a participating policy of the British Empire Fund for at least £1,000. The said James Sorley shall as from the commencement of the Act become a director of the Combined Office.

19. Within six calendar months from the commencement of the Act the directors of the Combined Office are to decide whether the present chief office of the Pelican at No. 70 Lombard Street in the city of London or the present chief office of the British Empire Company at Nos. 4 and 5 King William Street in the said city is to be the chief office of the Combined Office and if they decide that the present chief office of the British Empire Company shall be the

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**A.D. 1903.** chief office of the Combined Office then and in such case the Combined Office may elect to withdraw from the British Empire Fund the freehold hereditaments Nos. 4 and 5 King William Street and the Combined Office shall thereupon bring into such fund in money or by the conveyance of freehold hereditaments or the transfer of securities or investments or partly in one mode and partly in the other assets equal in value to the value of the said freehold hereditaments so to be withdrawn and for the purpose of ascertaining such value a competent valuer shall be appointed by the president for the time being of the Surveyors' Institution and the certificate of such valuer as to the value thereof and of the freehold hereditaments (if any) which may be brought in as aforesaid shall be conclusive. If the directors of the Combined Office decide that the present chief office of the Pelican situated as aforesaid shall be the chief office of the Combined Office they shall if the Combined Office does not vacate the present chief office of the British Empire Company within a period of six calendar months from the commencement of the Act thenceforward until the Combined Office shall vacate the same pay to the British Empire Fund such reasonable rent for the said premises as shall be determined by a competent valuer to be appointed as aforesaid.

20. The funds and property of the Combined Office shall alone be liable to answer and make good all claims and demands under or in respect of these terms and no shareholder in the Combined Office shall in any case be liable to contribute to the funds of the Combined Office more than the unpaid amount (if any) of his share or shares in the capital thereof.

21. The Act is to provide that the costs charges and expenses preliminary to and of and incidental to procuring obtaining and passing the Act shall be paid by the Combined Office but an amount not greater than one-half the total thereof is to be taken out of the British Empire Fund by way of recoupment to the general assets of the Combined Office.

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**SECOND SCHEDULE.**

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**The Companies Acts 1862 to 1900.**

**MEMORANDUM OF ASSOCIATION OF THE PELICAN AND BRITISH  
EMPIRE LIFE OFFICE.**

1. The name of the company is "Pelican and British Empire Life Office."

2. The registered office of the company will be situate in England.

3. The objects for which the company is established are—

(1) To carry on the business of life assurance in all its branches and in particular to grant or effect assurances of all kinds for payment of money by way of a single payment or by several payments or otherwise upon the death or marriage or birth or failure of issue of or

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the attainment of a given age by any person or persons or upon the expiration of any fixed or ascertainable period or upon the happening of any other contingency or event dependent upon or connected with human life or the occurrence of any contingency or event which would or might be taken to affect the interest whether vested contingent expected or otherwise of any person or persons in any property subject or not to any such events as aforesaid happening in the lifetime of any other person or persons or upon the loss or recovery of contractual or testamentary capacity in any person or persons :

- (2) To grant annuities of all kinds whether dependent on human life or otherwise and whether perpetual or terminable and whether immediate or deferred and whether contingent or otherwise :
- (3) To contract with leaseholders borrowers lenders annuitants and others for the establishment accumulation provision and payment of sinking funds redemption funds depreciation funds renewal funds endowment funds and any other special funds and that either in consideration of a lump sum or of an annual premium or otherwise and generally on such terms and conditions as may be arranged :
- (4) To purchase and deal in and lend on life reversionary and other interests in property of all kinds whether absolute or contingent or expectant and whether determinable or not or annuities or policies of assurance and to acquire lend money on redeem cancel or extinguish by purchase surrender or otherwise any policy security grant or contract issued made or taken over or entered into by the company :
- (5) Generally to carry on all matters of business which now are or may come to be connected with life assurance or transacted by life assurance companies :
- (6) To carry on the business of accident insurance in all its branches and the insurance of employers against liability for accidents to their workmen or others and to guarantee the fidelity of persons in situations of trust and generally to carry on all matters of business which now are or may come to be connected with any of the above classes of insurance in any of the various branches thereof or which may be transacted by accident or fidelity or employers' liability insurance companies :
- (7) To re-insure all or any risks and to undertake all kinds of re-insurance connected with any of the businesses aforesaid :
- (8) To give to any class or section of those who insure or have other dealings with the company any right over or in relation to any fund or funds or a right to participate in the profits of the company or in the profits of any particular branch or part of its business either equally with other classes or sections or otherwise or any other special privileges advantages or benefits :
- (9) To pay satisfy or compromise any claims made against the company in respect of any policies or contracts granted by dealt in or entered

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- into by the company which claims it may deem expedient to pay satisfy or compromise notwithstanding that the same may not be valid in law :
- (10) To purchase or otherwise acquire and undertake upon any terms that may be deemed expedient all or any part of the business property and liabilities of any person or company carrying on any business which this company is authorised to carry on or possessed of property suitable for the purposes of the company and to carry out such terms :
  - (11) To enter into any arrangement for sharing profits union of interests joint adventure reciprocal concession or co-operation with any person or company carrying on or engaged in or about to carry on or engage in any business or transaction which this company is authorised to carry on or engage in and to take or otherwise acquire and hold shares or stock in or securities of and to subsidise or otherwise assist any such company :
  - (12) Generally to purchase take on lease or in exchange hire or otherwise acquire any real or personal property and any rights or privileges which the company may think necessary or convenient with reference to any of these objects or capable of being profitably dealt with in connection with any of the company's property business or rights for the time being :
  - (13) To sell the undertaking of the company or any part thereof for such consideration as the company may think fit and in particular for shares debentures debenture stock policies or securities of any other company having objects altogether or in part similar to those of this company and to promote any company or companies for the purpose of acquiring the undertaking of this company or any part thereof or all or any of the property rights and liabilities of this company :
  - (14) To invest the moneys of the company not immediately required in such manner as may from time to time be determined :
  - (15) To lend or advance moneys and deposit securities and property to and with such persons and on such terms as may seem expedient and to underwrite or guarantee the subscription of any stocks funds shares debentures mortgages or securities and to subscribe for the same conditionally or otherwise :
  - (16) To raise or borrow or secure the payment of money in such manner and on such terms as may seem expedient and in particular by the creation or issue of any mortgages debentures debenture stock bonds or notes :
  - (17) To draw accept endorse discount execute and issue bills of exchange promissory notes debentures whether expressed to be payable to bearer or otherwise and other negotiable or transferable instruments or securities and in particular to issue to any person interested in any policy in respect of all or any of the premiums

paid on any such policy any separate promissory note bill of exchange bond policy or contract providing for the payment to bearer or otherwise whether conditionally or unconditionally of any specified sum at the death of the person whose life is assured by such policy or in some other event : A.D. 1903.  
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(18) To do all or any of the above things in any part of the world and either as principals agents trustees contractors or otherwise and either alone or in conjunction with others and either by or through agents sub-contractors trustees or otherwise :

(19) To procure the company to be registered or recognised in any country state or place abroad and to make any investments or deposits and to comply with any conditions necessary or expedient in order to enable the company to carry on business in any country state or place abroad and to establish or guarantee local companies or branch offices constituted or regulated under or by local laws for the purpose of carrying on any business which this company is authorised to carry on :

(20) To sell improve manage develop exchange enfranchise lease mortgage dispose of turn to account or otherwise deal with all or any part of the property or rights of the company :

(21) To do all such other things as are incidental or conducive to the attainment of the above objects or any of them The word "company" in this memorandum shall be deemed to include any partnership or other body of persons whether incorporated or not incorporated and whether domiciled in the United Kingdom or elsewhere.

4. The capital of the company is £1,000,000 divided into 100,000 shares of £10 each.

## ARTICLES OF ASSOCIATION OF PELICAN AND BRITISH EMPIRE LIFE OFFICE.

### PRELIMINARY.

1. The marginal notes hereto shall not affect the construction hereof and in these presents unless there be something in the subject or context inconsistent therewith— Interpretation.

"The company" means the Pelican and British Empire Life Office :

"The Act" means the Pelican and British Empire Life Office Act 1903 :

"The British Empire Company" means the British Empire Mutual Life Assurance Company :

"Proprietor" means the holder of a share or shares :

"The office" means the registered office for the time being of the company :

"The register" means the register of members to be kept pursuant to section 25 of the Companies Act 1862 :

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—

“Month” means calendar month :

“In writing” or “written” include printing lithography and other modes of representing or reproducing words in a visible form :

“The directors” means the directors for the time being :

“The secretary” includes any manager actuary or other duly authorised officer acting as secretary :

“Dividend” includes bonus :

“Special resolution” and “extraordinary resolution” have the meanings assigned thereto respectively by the Companies Act 1862 sections 51 and 129 :

Words importing the singular only include the plural number and vice versâ :

Words importing the masculine gender only include the feminine gender :

Words importing persons include corporations :

Words and expressions defined in the Act shall have a similar meaning herein.

Table “A” not to apply.

2. The regulations contained in Table “A” in the First Schedule to the Companies Act 1862 shall not apply to the company.

Scheduled terms to be carried out.

3. The directors shall forthwith carry out and give effect to the memorandum of terms set forth in the First Schedule to the Act.

**SHARES.**

Company not to purchase or lend on shares.

4. None of the funds of the company shall be applied in the purchase of or in lending on shares of the company.

Instalments on shares to be duly paid.

5. If by the conditions of allotment of any shares the whole or part of the amount or issue price thereof shall be payable by instalments every such instalment shall when due be paid to the company by the person who for the time being and from time to time shall be the registered holder of the share or his legal personal representatives.

Filing of returns of allotments and contracts.

6. The directors shall as regards all allotments of shares duly comply with section 7 of the Companies Act 1900.

Restrictions on allotments of shares.

7. If the company shall offer any of its shares to the public for subscription—

(a) The directors shall not make any allotment thereof unless and until at least 10 per cent. of the shares so offered shall have been subscribed and the sums payable on application shall have been paid to and received by the company but this provision is no longer to apply after the first allotment of shares offered to the public for subscription has been made :

(b) The amount payable on application on each share so offered shall not be less than 5 per cent. of the nominal amount of the share.

Register of directors.

8. The company is to keep at the office a register containing the names addresses and occupations of its directors and is to send to the registrar of joint stock companies a copy of such register and is from time to time to notify to such registrar any change that takes place in such directors.



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9. The company is to comply with section 26 of the Companies Act 1862 as amended by section 19 of the Companies Act 1900 as to making at least once a year a list and summary as to capital shares members mortgages and otherwise and forwarding a copy thereof to the registrar of joint stock companies and otherwise comply with such sections.

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Annual list and summary.

10. The company may make arrangements on the issue of shares for a difference between the holders of such shares in the amount of calls to be paid and the time of payment of such calls.

Issue subject to different conditions as to calls.

11. The joint holders of a share shall be severally as well as jointly liable for the payment of all instalments and calls due in respect of such share.

Liability of joint holders of shares.

12. Save as herein otherwise provided the company shall be entitled to treat the registered holder of any share as the absolute owner thereof and accordingly shall not be bound (except as ordered by a court of competent jurisdiction or as by statute required) to recognise any equitable or other claim to or interest in such share on the part of any other person.

Trusts not recognised.

CERTIFICATES.

13. The certificates of title to shares shall be issued under the seal of the company and signed by two directors and countersigned by the secretary.

Certificates.

14. Every proprietor shall be entitled to one certificate for the shares registered in his name or to several certificates each for a part of such shares Every certificate of shares shall specify the denoting numbers of the shares in respect of which it is issued and the amount paid up thereon.

Who entitled and nature of certificate.

15. If any certificate be worn out or defaced then upon production thereof to the directors they may order the same to be cancelled and may issue a new certificate in lieu thereof and if any certificate be lost or destroyed then upon proof thereof to the satisfaction of the directors and on such indemnity as the directors deem adequate being given a new certificate in lieu thereof shall be given to the party entitled to such lost or destroyed certificate.

As to issue of new certificate in place of one defaced lost or destroyed.

16. The sum of one shilling or such smaller sum as the directors may determine shall be paid to the company for every certificate issued under the last preceding clause.

Fee.

CALLS.

17. The directors may from time to time make such calls as they think fit upon the proprietors in respect of all moneys unpaid on the shares held by them respectively and not by the conditions of allotment thereof made payable at fixed times and each proprietor shall pay the amount of every call so made on him to the persons and at the times and places appointed by the directors A call may be made payable by instalments.

Calls.

18. A call shall be deemed to have been made when the resolution of the directors authorising such call was passed.

When call deemed to have been made.

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A.D. 1903.      19. At least fourteen days' notice of any call shall be given specifying  
Notice of call.      the time and place of payment and to whom such call shall be paid. Before  
the time for payment the directors may by notice in writing to the proprietors  
revoke the call or extend the time for payment.

When interest      20. If the sum payable in respect of any call or instalment be not paid  
on call or      on or before the day appointed for payment thereof the holder for the time  
instalment pay-      being of the share in respect of which the call shall have been made or the  
able.      instalment shall be due shall pay interest for the same at the rate of  
5 per cent. per annum from the day appointed for the payment thereof  
to the time of the actual payment or at such other rate as the directors may  
determine.

FORFEITURE AND LIEN.

If call or instal-      21. If any proprietor fail to pay any call or instalment on or before the  
ment not paid      day appointed for the payment of the same the directors may at any time  
notice may be      thereafter during such time as the call or instalment remains unpaid serve a  
given.      notice on such proprietor requiring him to pay the same together with any  
interest that may have accrued and all expenses that may have been incurred  
by the company by reason of such non-payment.

Form of notice.      22. The notice shall name a day (not being less than fourteen days from  
the date of the notice) and a place or places on and at which such call or  
instalment and such interest and expenses as aforesaid are to be paid. The  
notice shall also state that in the event of non-payment at or before the time  
and at the place appointed the shares in respect of which the call was made  
or instalment is payable will be liable to be forfeited.

If notice not      23. If the requisitions of any such notice as aforesaid are not complied  
complied with      with any shares in respect of which such notice has been given may at  
shares may be      any time thereafter before payment of all calls or instalments interest  
forfeited.      and expenses due in respect thereof be forfeited by a resolution of the  
directors to that effect. Such forfeiture shall include all dividends declared  
in respect of the forfeited shares and not actually paid before the forfeiture.

Forfeited      24. Any shares so forfeited shall be deemed to be the property of the  
shares to be-      company and the directors may sell re-allot or otherwise dispose of the same  
come the pro-      in such manner as they think fit.

Power to annul      25. The directors may at any time before any shares so forfeited shall  
forfeiture.      have been sold re-allotted or otherwise disposed of annul the forfeiture  
thereof upon such conditions as they think fit.

Arrears to be      26. Any proprietor whose shares have been forfeited shall notwithstanding  
paid notwith-      be liable to pay and shall forthwith pay to the company all calls instalments  
standing.      interest and expenses owing upon or in respect of such shares at the time of  
forfeiture together with interest thereon from the time of forfeiture until  
payment at the rate of 5 per cent. per annum and the directors shall enforce  
the payment of such moneys or any part thereof if they think fit but shall  
not be under any obligation so to do.

27. The company shall have a first and paramount lien upon all the shares registered in the name of a proprietor or of several proprietors for his or their joint debts liabilities and engagements to or with the company whether the period for the payment fulfilment or discharge thereof shall have actually arrived or not and no equitable interest in any share shall be created except upon the footing and condition that clause 12 hereof is to have full effect. Such lien shall extend to all dividends from time to time declared in respect of such shares. Unless otherwise agreed the registration of a transfer of shares shall operate as a waiver of the company's lien (if any) upon such shares.

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Company's lien  
on shares.

28. For the purpose of enforcing such lien the directors may sell the shares subject thereto in such manner as they think fit but no sale shall be made until such period as aforesaid shall have arrived and until notice in writing of the intention to sell shall have been served on such proprietor his executors or administrators and default shall have been made by him or them in the payment fulfilment or discharge of such debts liabilities or engagements for seven days after such notice.

29. The net proceeds of any such sale shall be applied in or towards satisfaction of the debts liabilities or engagements and the residue (if any) paid to such proprietor his executors administrators or assigns.

30. Upon any sale after forfeiture or for enforcing a lien in purported exercise of the powers hereinbefore given the directors may cause the purchaser's name to be entered in the register in respect of the shares sold and the purchaser shall not be bound to see to the regularity of the proceedings or to the application of the purchase-money and after his name has been entered in the register in respect of such shares the validity of the sale shall not be impeached by any person and the remedy of any person aggrieved by the sale shall be in damages only and against the company exclusively.

## TRANSFER AND TRANSMISSION OF SHARES.

31. The instrument of transfer of any share shall be signed both by the transferor and transferee and the transferor shall be deemed to remain the holder of such share until the name of the transferee is entered in the register in respect thereof.

32. The instrument of transfer of any share shall be in writing <sup>Form of trans-</sup> in the usual common form or in the following form or as near thereto as <sup>fer.</sup> circumstances will admit:—

" I                                          of                                          in consideration  
of the sum of £                                      paid to me by                                      of  
  
                                                              (hereinafter called "the transferee") do hereby  
transfer to the transferee                                      shares numbered  
in the undertaking called "Pelican and British Empire Life Office" to  
hold unto the transferee his executors administrators and assigns subject  
to the several conditions on which I held the same immediately before

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A.D. 1903.            the execution hereof and I the transferee do hereby agree to take the  
—                        said shares subject to the conditions aforesaid.

As witness our hands the                                  day of

Witness to the signature &c."

In what case  
directors may  
decline to  
register trans-  
fer.

33. The directors may decline to register any transfer of shares upon which the company has a lien and in the case of shares not fully paid up may refuse to register a transfer to a transferee of whom they do not approve.

Transfer to be  
left at office  
and evidence of  
title given.

34. Every instrument of transfer shall be left at the office for registration accompanied by the certificate of the shares to be transferred and such other evidence as the company may require to prove the title of the transferor or his right to transfer the shares.

When transfers  
to be returned.

35. All instruments of transfer which shall be registered shall be retained by the company but any instrument of transfer which the directors may decline to register shall on demand be returned to the person depositing the same.

Fee on transfer.

36. A fee not exceeding 2s. 6d. may be charged for each transfer and shall if required by the directors be paid before the registration thereof.

When transfer books and register may be closed.

37. The transfer books and register of proprietors may be closed during such time as the directors think fit not exceeding in the whole thirty days in each year.

Transmission  
of registered  
shares.

38. The executors or administrators of a deceased proprietor (not being one of several joint holders) shall be the only persons recognised by the company as having any title to the shares registered in the name of such proprietor and in the case of the death of any one or more of the joint holders of any registered shares the survivors shall be the only persons recognised by the company as having any title to or interest in such shares.

As to survivorship.

As to transfer  
of shares of  
deceased or  
bankrupt mem-  
bers.

39. Any person becoming entitled to shares in consequence of the death or bankruptcy of any proprietor upon producing such evidence that he sustains the character in respect of which he proposes to act under this clause or of his title as the directors think sufficient may with the consent of the directors (which they shall not be under any obligation to give) be registered as a proprietor in respect of such shares or may subject to the regulations as to transfers hereinbefore contained transfer such shares This clause is hereinafter referred to as "the transmission clause."

## INCREASE AND REDUCTION OF CAPITAL.

Power to in-  
crease capital.

40. The company in general meeting may from time to time increase the capital by the creation of new shares of such amount as may be deemed expedient.

On what conditions new shares may be issued.

41. The new shares shall be issued upon such terms and conditions and either at a premium or otherwise and at such times as the general meeting resolving upon the creation thereof shall direct and if no direction be given as the directors shall determine.

42. The company in general meeting may before the issue of any new shares determine that the same or any of them shall be offered in the first instance to all the then proprietors in proportion to the amount of the capital held by them or make any other provisions as to the issue and allotment of the new shares but in default of any such determination or so far as the same shall not extend the new shares may be disposed of in such manner and on such terms and conditions as the directors consider expedient.

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When to be offered to existing proprietors.

43. Except so far as otherwise provided by the conditions of issue or by these presents any capital raised by the creation of new shares shall be considered part of the present capital and shall be subject to the provisions herein contained with reference to the payment of calls and instalments transfer and transmission forfeiture lien surrender and otherwise.

How far new shares to rank with shares in capital.

44. The company may from time to time by special resolution reduce its capital by paying off capital or cancelling capital which has been lost or is unrepresented by available assets or reducing the liability on the shares or otherwise as may seem expedient and capital may be paid off upon the footing that it may be called up again or otherwise and the company may also by special resolution subdivide or by ordinary resolution consolidate its shares or any of them.

Reduction of capital &c.

#### BORROWING POWERS.

45. The directors may from time to time at their discretion raise or borrow any sum or sums of money for the purposes of the company but so that the amount at any one time owing in respect of moneys so raised or borrowed shall not without the sanction of a general meeting exceed the nominal amount of the capital nevertheless no lender or other person dealing with the company shall be concerned to see or inquire whether this limit is observed.

Power to borrow.

46. The directors may raise such moneys and secure the repayment of such moneys and of any other moneys for the time being owing by the company in such manner and upon such terms and conditions in all respects as they think fit.

Conditions on which money may be borrowed and secured.

#### GENERAL MEETINGS.

47. General meetings shall be held once in every year at such time and place as may be prescribed by the company in general meeting or if no time or place is so prescribed at such time and place as may be determined by the directors.

When ordinary general meetings to be held.

48. The above-mentioned general meetings shall be called "ordinary meetings" and all other meetings of the company shall be called "extraordinary meetings".

Distinction between ordinary and extraordinary meetings.

49. The directors may whenever they think fit convene an extraordinary meeting and the directors shall on the request of the holders of not less than one-tenth of the issued capital of the company upon which all calls or other

When extraordinary meeting to be called.

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A.D. 1903. — sums then due have been paid forthwith proceed to convene an extraordinary meeting and the following provisions shall have effect :—

- (1) The requisition must state the objects of the meeting and must be signed by the requisitionists and deposited at the office of the company and may consist of several documents in like form each signed by one or more requisitionists :
- (2) If the directors do not proceed to cause a meeting to be held within 21 days from the date of the requisition being so deposited the requisitionists or a majority of them in value may themselves convene the meeting but any meeting so convened shall not be held after three months from the date of such deposit :
- (3) If at any such meeting a resolution requiring confirmation at another meeting is passed the directors shall forthwith convene a further extraordinary meeting for the purpose of considering the resolution and if thought fit of confirming it as a special resolution and if the directors do not convene the meeting within seven days from the date of the passing of the first resolution the requisitionists or a majority of them in value may themselves convene the meeting :
- (4) Any meeting convened under this clause by the requisitionists shall be convened in the same manner as nearly as possible as that in which meetings are to be convened by directors.

Notice of meet-  
ing.

50. At least ten clear days' notice to the proprietors specifying the place day and hour of meeting and in case of special business the general nature of such business shall be given either by advertisement or by notice sent by post or otherwise served as hereinafter provided Whenever it is intended to pass a special resolution the two meetings may be convened by one and the same notice and it shall be no objection that the notice only convenes the second meeting contingently on the resolution being passed by the requisite majority at the first meeting.

As to omission  
to give notice.

51. The accidental omission to give any such notice to any of the proprietors shall not invalidate any resolution passed at any such meeting.

PROCEEDINGS AT GENERAL MEETINGS.

Business of or-  
dinary meeting.

52. The business of an ordinary general meeting shall be to receive and consider the revenue account and the balance sheet the reports of the directors and of the auditors to elect directors and other officers in the place of those retiring by rotation to declare a dividend and to transact any other business which under these presents ought to be transacted at an ordinary general meeting All other business transacted at an ordinary general meeting and all business transacted at an extraordinary general meeting shall be deemed special.

Special busi-  
ness.

Quorum.

53. Twelve proprietors personally present shall be a quorum for a general meeting and no business shall be transacted at any general meeting unless the quorum requisite be present at the commencement of the business.

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54. The chairman of the directors or whilst there are joint chairmen one of them or in default of a chairman being present the deputy-chairman (if any) shall be entitled to take the chair at every general meeting or if there be no chairman or deputy-chairman or if at any meeting neither of them shall be present within fifteen minutes after the time appointed for holding such meeting the proprietors personally present shall choose another director as chairman and if no director be present or if all the directors present decline to take the chair then the meeting shall choose one of the proprietors to be chairman.

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Chairman and deputy-chairman of general meeting.

55. The chairman of a general meeting may with the consent of the meeting adjourn the same from time to time and from place to place but no business shall be transacted at any adjourned meeting other than the business left undisposed of at the meeting from which the adjournment took place.

Power to adjourn general meeting.

56. If within half an hour from the time appointed for the meeting a quorum is not present the meeting if convened upon such requisition as aforesaid shall be dissolved but in any other case it shall stand adjourned to the same day in the next week at the same time and place and if at such adjourned meeting a quorum is not present within thirty minutes from the time fixed for the holding of it such meeting shall be dissolved.

When if quorum not present meeting to be dissolved and when to be adjourned.

57. Every question submitted to a meeting shall be decided in the first instance by a show of hands and in the case of an equality of votes the chairman shall both on the show of hands and at the poll have a casting vote in addition to the vote or votes to which he may be entitled as a member.

How questions to be decided at meetings.

Casting vote.

58. At any general meeting unless a poll is demanded by the chairman or by at least five proprietors personally present a declaration by the chairman that a resolution has been carried or carried by a particular majority or lost or not carried by a particular majority and an entry to that effect in the book of proceedings of the company shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded in favour of or against such resolution.

What is to be evidence of the passing of a resolution where poll not demanded.

59. If a poll is demanded as aforesaid it shall be taken in such manner and at such time and place as the chairman of the meeting directs and either at once or after an interval or adjournment or otherwise and the result of the poll shall be deemed to be the resolution of the meeting at which the poll was demanded.

Poll.

60. The demand of a poll shall not prevent the continuance of a meeting for the transaction of any business other than the question on which a poll is demanded.

Business may proceed notwithstanding demand of poll.

61. Any poll duly demanded on the election of a chairman of a meeting or on any question of adjournment shall be taken at the meeting without adjournment.

In what cases poll taken without adjournment.

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VOTES OF PROPRIETORS.

Votes of pro-  
prieters.

62. On a show of hands every proprietor present in person shall have one vote and at a poll every proprietor present in person or by proxy shall have one vote for every share held by him. No proprietor present only by proxy shall be entitled to vote on a show of hands unless such proprietor is a corporation present by a proxy who is not a proprietor of the company in which case such proxy may vote on the show of hands as if he were a proprietor of the company.

Votes in re-  
spect of shares  
of deceased or  
bankrupt pro-  
prieters.

63. Any person entitled under the transmission clause to transfer any shares may vote at any general meeting in respect thereof in the same manner as if he were the registered holder of such shares provided that forty-eight hours before the time of holding the meeting at which he proposes to vote he shall satisfy the directors of his right to transfer such shares or the directors shall have previously admitted his right to vote at such meeting in respect thereof.

Joint holders.

64. Where there are joint registered holders of any shares any one of such persons may vote at any meeting either personally or by proxy in respect of such shares as if he were solely entitled thereto and if more than one of such joint holders be present at any meeting personally or by proxy that one of the said persons whose name stands first in the register in respect of such shares shall alone be entitled to vote in respect thereof. Several executors or administrators of a deceased proprietor in whose names any shares stand shall for the purposes of this clause be deemed joint holders.

Proxies per-  
mitted.

65. Votes may be given either personally or by proxy. The instrument appointing a proxy shall be in writing under the hand of the appointor or his attorney or if such appointor is a corporation under its common seal or the hand of its attorney. No person shall be appointed a proxy who is not a proprietor of the company save that a corporation being a proprietor of the company may appoint as its proxy any officer of such corporation whether a proprietor of the company or not.

Proxies to be  
deposited at  
office.

66. The instrument appointing a proxy and the power of attorney (if any) under which it is signed shall be deposited at the office not less than forty-eight hours before the time for holding the meeting or adjourned meeting (as the case may be) at which the person named in such instrument proposes to vote but no instrument appointing a proxy shall be valid after the expiration of twelve months from the date of its execution.

When vote by  
proxy valid  
though autho-  
rity revoked.

67. A vote given in accordance with the terms of an instrument of proxy shall be valid notwithstanding the previous death of the principal or revocation of the proxy or transfer of the share in respect of which the vote is given unless an intimation in writing of the death revocation or transfer shall have been received at the office before the meeting.



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68. Every instrument of proxy whether for a specified meeting or otherwise shall as nearly as circumstances will admit be in the form or to the effect following:—

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 Form of proxy.

“ Pelican and British Empire Life Office.  
 “ I of in the  
 “ county of being a proprietor of the Pelican and British  
 “ Empire Life Office hereby appoint of or  
 “ failing him of or failing  
 “ him of as my proxy to  
 “ vote for me and on my behalf at the (ordinary or extraordinary  
 “ as the case may be) general meeting of the company to be held on  
 “ the day of and at any adjournment thereof.  
 “ As witness my hand this day of .”

69. No proprietor shall be entitled to be present or to vote on any question either personally or by proxy or as proxy for another proprietor at any general meeting or upon a poll or be reckoned in a quorum whilst any call or other sum payable to the company in respect of any of the shares of such proprietor shall be overdue.

No proprietor  
 entitled to vote  
 &c. while call  
 due to com-  
 pany.

DIRECTORS.

70. Until otherwise determined by a general meeting the number of the directors shall not be less than ten nor more than twenty.

Number of  
 directors.

71. The following shall be the directors of the company as from the commencement of the Act namely the Right Honourable Lord Avebury Seymour Pleydell Bouverie the Right Honourable Sir Mountstuart Elphinstone Grant Duff Charles Emanuel Goodhart the Right Honourable Lord George Hamilton M.P. the Right Honourable Viscount Hampden Alexander Travers Hawes Robert Kirkman Hodgson and the Honourable Edwin Charles William Ponsonby or such of them as shall be directors of the Pelican Life Insurance Company at the commencement of the said Act and James Sorley heretofore general manager of the said company and the Right Honourable Sir John Eldon Gorst M.P. the Right Honourable Sir Francis Jeune his Honour Judge Bompas K.C. the Right Honourable Viscount Dillon George Phillips John Tryon Sir William Henry Wills Baronet and Sidney Young or such of them as shall immediately before the commencement of the said Act have been directors of the British Empire Company.

Present direc-  
 tors.

72. The directors shall have power at any time and from time to time to appoint any qualified person as a director either to fill a casual vacancy or as an addition to the directorate but so that the total number of directors shall not at any time exceed the maximum number fixed as above Any director so appointed shall hold office only until the next ordinary general meeting of the company and shall then be eligible for re-election.

Casual vacan-  
 cies among  
 directors.

73. The qualification of a director shall be the holding of 500 shares in the company save that the qualification of such of the directors named in Article 71 as immediately prior to the commencement of the Act were

Qualification of  
 directors.

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A.D. 1903. — directors of the British Empire Company shall be the holding of a participating policy effected with the British Empire Company for £1000 at the least.

Remuneration of directors.

74. The remuneration of the directors for their services may be determined and paid from time to time by the directors provided that the aggregate amount thereof shall not unless with the sanction of the company in general meeting exceed four thousand guineas in any one financial year.

Directors may act notwithstanding vacancy.

75. The continuing directors may act notwithstanding any vacancy in their body.

When office of director to be vacated.

76. The office of a director shall ipso facto be vacated—

- (a) If without the sanction of a general meeting he accept any other office or place of profit under the company except that of managing director trustee or receiver under or in respect of any mortgage or charge or other property of the company :
- (b) If he without the sanction of a general meeting accept any office of profit in any other life assurance company established or carrying on business in any part of the world :
- (c) If he become bankrupt or suspend payment or compound with his creditors :
- (d) If he be found lunatic or become of unsound mind :
- (e) If he cease to hold the necessary qualification :
- (f) If he absent himself from the meetings of directors during a period of six calendar months without special leave of absence from the directors :
- (g) If by notice in writing to the company he resign his office :
- (h) If he is requested in writing by all his co-directors to resign.

Directors may contract with company.

77. No director shall be disqualified by his office from contracting with the company either as vendor purchaser or otherwise nor shall any such contract or any contract or arrangement entered into by or on behalf of the company in which any director shall be in any way interested be avoided nor shall any director so contracting or being so interested be liable to account to the company for any profit realised by any such contract or arrangement by reason only of such director holding that office or of the fiduciary relations thereby established but it is declared that the nature of his interest must be disclosed by him at the meeting of the directors at which the contract or arrangement is determined on if his interest then exists or in any other case at the first meeting of the directors after the acquisition of his interest and that no director shall as a director vote in respect of any contract or arrangement in which he is so interested as aforesaid and if he do vote his vote shall not be counted but this prohibition shall not apply to the memorandum of terms mentioned in clause 3 hereof or to any matters arising thereout or to any contract by or on behalf of the company to give to the directors or any of them any security by way of indemnity and it may at any time or times be suspended or relaxed to any extent by a general meeting A

general notice that a director is a member of any specified firm or company and is to be regarded as interested in all transactions with that firm or company shall be a sufficient disclosure under this clause as regards such director and the said transactions and after such general notice it shall not be necessary for such director to give a special notice of any particular transaction with that firm or company.

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#### ROTATION OF DIRECTORS.

78. One-third of the directors other than those referred to in Article 79 shall retire from office at the ordinary general meeting to be held in each year or if the number of the said directors is not a multiple of three then the number nearest to but not exceeding one-third shall so retire. A retiring director shall retain office until the dissolution of the meeting at which his successor is elected or at which it shall be decided not to fill up the vacancy caused by his retirement.

Rotation and retirement of directors.

79. The directors described in Article 71 as directors of the British Empire Company immediately before the commencement of the Act shall not be subject to retirement by rotation or to re-election by the proprietors but shall continue directors until disqualified under the provisions of Article 76.

80. The one-third or other nearest number to retire at each ordinary meeting shall be those of the said directors who have been longest in office. As between two or more who have been in office an equal length of time the director or directors to retire shall in default of agreement between them be determined by lot. The length of time a director has been in office shall be computed from his last election or appointment where he has previously vacated office. A retiring director shall be eligible for re-election.

Which directors to retire.

81. The company at any general meeting at which any directors retire in manner aforesaid may fill up the vacated offices by electing a like number of persons to be directors.

Meeting to fill up vacancies.

82. If at any general meeting at which an election of directors might properly take place the place of any retiring director is not filled up he shall continue in office until the dissolution of the ordinary meeting in the next year and so on from year to year until his place is filled up unless it shall be determined at such meeting to reduce the number of directors.

Retiring directors to remain in office till successors appointed.

83. The Company in general meeting may from time to time increase or reduce the number of directors and may alter their qualification and may also determine in what rotation such increased or reduced number is to go out of office.

Power for general meeting to increase or reduce number of directors.

84. Save as provided by Article 79 the company may by special resolution remove any director before the expiration of his period of office and may by ordinary resolution appoint another qualified person in his stead. The person so appointed shall hold office during such time only as the director in whose place he is appointed would have held the same if he had not been removed.

Power to remove director.

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When candi-  
date for office  
of director  
must give  
notice.

85. No person not being a retiring director shall unless recommended by the directors for election be eligible for election to the office of director at any general meeting unless he or some other proprietor intending to propose him has at least seven clear days before the meeting left at the office a notice in writing under his hand signifying his candidature for the office or the intention of such proprietor to propose him.

PROCEEDINGS OF DIRECTORS.

Meetings of  
directors  
quorum &c.

86. The directors shall meet together for the dispatch of business at such intervals and on such stated days as they may determine and may adjourn and otherwise regulate their meetings as they may think fit and such meetings shall be called "ordinary board meetings" All other board meetings shall be called "special board meetings" A chairman or any two directors may by notice in writing to the secretary require a special board meeting to be convened and thereupon the secretary shall convene the same and state in the notice the purpose for which the same is convened The directors may determine the quorum necessary for the transaction of business but until otherwise determined three directors shall form the quorum for an ordinary board meeting and five directors shall form the quorum for a special board meeting.

Decision of  
questions.

87. Questions arising at any meeting shall be decided by a majority of votes and in case of an equality of votes the chairman shall have a second or casting vote.

Chairman.

88. Until the annual general meeting in 1904 the Right Honourable Viscount Hampden and the Right Honourable Sir John Eldon Gorst shall be chairmen of the directors and shall preside respectively as chairman in rotation or otherwise as may be determined by the directors They may both hold such office so long as they are both re-elected by the directors and are both willing to serve and subject thereto there shall be one chairman All elections of chairmen shall be made by the directors at the first board meeting following the annual general meeting in each year Until the annual general meeting in 1904 the Right Honourable Sir Francis Jeune shall be deputy-chairman of the directors Thereafter an election to the office of deputy-chairman (if any) of the directors shall be made at the first board meeting following the annual general meeting in each year If at any meeting neither a chairman nor the deputy-chairman is present at the time appointed for holding the same the directors present may choose one of their number to be chairman of such meeting Every chairman and deputy-chairman of the directors shall respectively be chairman and deputy-chairman of the company.

Power of meet-  
ing.

89. A meeting of the directors for the time being at which a quorum is present shall be competent to exercise all or any of the authorities powers and directions by or under regulations of the company for the time being vested in or exerciseable by the directors generally.

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90. The directors may delegate any of their powers to committees consisting of such member or members of their body as they think fit. Any committee so formed shall in the exercise of the powers so delegated conform to any regulations that may from time to time be imposed on it by the directors.

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Power to appoint committees and to delegate.

91. The meetings and proceedings of any such committee consisting of two or more members shall be governed by the provisions herein contained for regulating the meetings and proceedings of the directors so far as the same are applicable thereto and are not superseded by any regulations made by the directors under the last preceding clause.

Proceedings of committees.

92. All acts done at any meeting of the directors or of a committee of directors or by any person acting as a director shall notwithstanding that it shall afterwards be discovered that there was some defect in the appointment of such directors or persons acting as aforesaid or that they or any of them were disqualified be as valid as if every such person had been duly appointed and was qualified to be a director.

When acts of directors or committee valid notwithstanding defective appointment &c.

93. If any director being willing shall be called upon to perform extra services or to make any special exertions in going or residing abroad or otherwise for any of the purposes of the company the company may remunerate such director either by a fixed sum or otherwise as may be determined by the directors.

Remuneration for extra service.

#### MINUTES.

94.—(1) The directors shall cause minutes to be entered in proper books of the names of the directors present at each board or committee of directors and of all proceedings of boards of directors and of committees of directors and of general meetings of the proprietors.

Minutes of proceedings of directors and of general meetings.

(2) Those minutes if appearing to be signed by the chairman of the board committee or general meeting (as the case may be) or of the next succeeding board committee or general meeting are evidence of the matters therein stated.

#### POWERS OF DIRECTORS.

95. The management of the business of the company shall be vested in the directors and the directors in addition to the powers and authorities by these presents expressly conferred upon them may exercise all such powers and do all such acts and things as may be exercised or done by the company and are not hereby or by statute directed or required to be exercised or done by the company in general meeting but subject nevertheless to the provisions of the statutes and of these presents and to any regulations from time to time made by the company in general meeting provided that no such regulation shall invalidate any prior act of the directors which would have been valid if such regulation had not been made.

General powers of company vested in directors.

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| A.D. 1903.<br>—<br>Specific powers<br>given to direc-<br>tors. | 96. Without prejudice to the general powers conferred by the last preceding clause and so as not in any way to limit or restrict those powers and without prejudice to the other powers conferred by these presents it is hereby expressly declared that the directors shall have the following powers that is to say power—                                                                                                                                                                                                                                                                                                                                                |
| To appoint<br>officers &c.                                     | (1) To appoint and at their discretion remove or suspend such managers actuaries physicians surgeons solicitors secretaries officers clerks agents and servants for permanent temporary or special services as they may from time to time think fit and to determine their duties and powers and fix their salaries or emoluments and grant them pensions or compensation on retirement or partial retirement and to require security in such instances and to such amount as they think fit and to delegate to any person so appointed any of the powers authorities and discretions for the time being vested in the directors and to annul or vary any such delegation : |
| To accept sur-<br>render of<br>shares.                         | (2) To accept from any proprietor on such terms and conditions as shall be agreed a surrender of his shares or any part thereof :                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| To bring and<br>defend actions<br>&c.                          | (3) To institute conduct defend compound or abandon any legal proceedings by and against the company or its officers or otherwise concerning the affairs of the company and also to compound and allow time for payment or satisfaction of any debts due to and of any claims or demands by or against the company :                                                                                                                                                                                                                                                                                                                                                        |
| To give re-<br>ceipts.                                         | (4) To make and give receipts releases and other discharges for money payable to the company and for the claims and demands of the company :                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| To give per-<br>centages.                                      | (5) To give to any officer or other person employed by the company a commission on the profits of any particular branch or class of business of the company and such commission shall be treated as part of the working expenses of the company :                                                                                                                                                                                                                                                                                                                                                                                                                           |
| May make con-<br>tracts &c.                                    | (6) To enter into all such negotiations and contracts and rescind and vary all such contracts and execute and do all such acts deeds and things in the name and on behalf of the company as they may consider expedient for or in relation to any of the matters aforesaid or otherwise for the purposes of the company :                                                                                                                                                                                                                                                                                                                                                   |
| Reserve funds.                                                 | (7) To maintain increase or diminish any existing reserve funds and to establish any special or other reserve funds on such terms and to such amount as they may think fit.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |

BYELAWS.

|                                                 |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
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| Power of direc-<br>tors to make<br>&c. byelaws. | 97. The directors may from time to time make alter and repeal byelaws for the management of the business of the company in all its branches and for regulating the duties and conduct of its affairs and any other matters that require regulation Provided that—<br>(a) A byelaw inconsistent with any Act of Parliament or the law of the place where it is to operate or with any provision herein contained is ipso facto void :<br>(b) Any byelaw may at any time be rescinded by an extraordinary resolution of the company in general meeting. |
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LOCAL MANAGEMENT.

A.D. 1903.

98. The directors may from time to time provide for the management and transaction of the affairs of the company in any specified locality whether at home or abroad in such manner as they think fit and the provisions contained in the three next following clauses shall be without prejudice to the general power conferred by this clause. Local management.

99. The directors from time to time and at any time may establish any local board or agency for managing any of the affairs of the company in any such specified locality or may appoint any persons to be members of such local board or managers or agents and may fix their remuneration And the directors from time to time and at any time may delegate to any person so appointed any of the powers authorities and discretions for the time being vested in the directors (other than their power to make calls) and may authorise the members for the time being of any such local board or any of them to fill up any vacancies therein and to act notwithstanding vacancies and any such appointment or delegation may be made on such terms and subject to such conditions as the directors may think fit and the directors may at any time remove any person so appointed and may annul or vary any such delegation. Local boards.

100. The directors may at any time and from time to time by power of attorney under the seal appoint any person or persons to be the attorney or attorneys of the company for such purposes and with such powers authorities and discretions (not exceeding those vested in or exerciseable by the directors under these presents) and for such period and subject to such conditions as the directors may from time to time think fit and any such appointment may (if the directors think fit) be made in favour of the members or any of the members of any local board established as aforesaid or in favour of any company or of the members directors nominees or managers of any company or firm or otherwise in favour of any fluctuating body of persons whether nominated directly or indirectly by the directors and any such power of attorney may contain such powers for the protection or convenience of persons dealing with such attorneys as the directors may think fit. Powers of attorney.

101. Any such delegates or attorneys as aforesaid may be authorised by the directors to sub delegate all or any of the powers authorities and discretions for the time being vested in them. Sub-delegation.

102. The company may exercise the powers conferred by the Companies Seals Act 1864 and such powers shall accordingly be vested in the directors. Seals Act 1864.

103. The directors may comply with the requirements of any local law which in their opinion it shall in the interests of the company be necessary or expedient to comply with. Local laws.

POLICIES OF ASSURANCE &C.

104. It shall rest wholly with the directors in their unfettered discretion to accept on such terms as they think fit or to refuse proposals for assurances annuities and endowments or any other authorised business. Acceptance of proposals for assurance &c.

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A.D. 1903.      105. The directors shall cause to be inserted in every assurance annuity or other contract granted by the company other than bills of exchange promissory notes or other negotiable instruments a proviso that the funds and property for the time being of the company shall alone be liable to satisfy and make good any claim arising out of any such policy or grant and that no proprietor shall incur any personal liability in respect thereof.

Signature of policies and cheques and other documents.      106. All policies (including annuity deeds and endowment policies and all other policy contracts) and cheques and orders on the company's bankers and receipts for premiums or other annual or periodical payments in favour of the company and for any other payment made to the company in the ordinary course of business shall be well and sufficiently signed if signed by a director or by any officer or other person duly authorised so to do.

Contract of assurance deemed to be effected on payment of premium.      107. A person effecting an insurance or endowment with the company is to be considered as assured by the company as soon as he has paid the first premium on the policy contracted to be granted to him although the policy itself has not been actually issued.

TRUSTEES.

Directors may appoint trustees.      108. The directors may if in their discretion they think fit from time to time and at any time appoint any person or persons to accept and hold any property belonging to the company or in which it is interested in trust for the company or for any other purposes and may execute and do all such deeds and things as may be requisite in relation to any such trusts and may provide for the remuneration of such trustees. Any of the directors may act as trustees.

Persons abroad may be appointed.      109. When the directors think it expedient any foreigner or other person out of the jurisdiction may be appointed a trustee for any such purpose.

Delegation by trustees.      110. When the directors think it expedient any trustee for the company may be authorised to delegate all or any of the trustees' powers or discretions vested in him.

Trustees to act under directions.      111. The several persons who for the time being hold property in trust for the company (including those acting when these regulations come into operation) shall act in all respects under and in accordance with the directions of the company and of the directors.

INVESTMENTS.

Investments.      112. The directors may subject to any restrictions imposed by the company in general meeting invest any of the funds of the company—

(1) In the purchase of any of the public stocks or funds or Government securities of the United Kingdom or India or any colony or dependency of the United Kingdom or any foreign country or state:



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- (2) In the purchase of lands buildings or hereditaments or any interest therein or rights connected therewith whether in the United Kingdom or elsewhere: A.D. 1903.  
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- (3) In the purchase of ground rents head rents chief rents feu duties ground annuals rentcharges or any other kind of rents or income issuing out of or charged on lands whether in the United Kingdom or elsewhere:
- (4) In the purchase of stocks funds shares debentures mortgages or securities of any corporation body or company municipal county local commercial or of any other description whatsoever in the United Kingdom or India or any colony or dependency of the United Kingdom or any foreign country or state:
- (5) In the purchase of mortgages charges annuities liens and incumbrances affecting any property on which the company has power to lend:
- (6) In the purchase of policies annuities or contracts of any kind issued granted or made by the company or in respect of which it is under any liability or issued granted or made by any other assurance office:
- (7) In the purchase of life reversionary or other interests whether absolute contingent or expectant in property of any kind whether determinable or not:
- (8) In the purchase of any other property or security real or personal movable or immovable and wheresoever situated which the directors may think fit to acquire:
- (9) Or on the security of any of the foregoing:
- (10) On personal liability of the borrower fortified by the guarantee covenant or obligation of any person or company whether as sureties or otherwise:
- (11) On deposit with any banker or joint stock company.

113. The directors shall have power from time to time at their discretion to vary and transpose any of the investments hereinbefore mentioned An investment may be made or continued in the names of trustees in all cases in which the directors shall deem the interposition of trustees to be convenient and the directors may appoint and remove trustees from time to time. Power to vary.

114. Save as provided by the Act no specific portion of the property of the company shall be considered to belong exclusively to any fund but each specific portion of the property of the company shall be considered to belong to the several funds rateably and proportionately according to the respective amounts of the said funds from year to year. No specific appropriation of property as between funds.

THE SEAL.

115. The directors shall provide for the safe custody of the seal and the seal shall never be used except by the authority of the directors or a committee of the directors and in the presence of two directors at least who shall sign every instrument to which the seal is affixed and every such instrument shall be countersigned by the secretary. Seal.

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DISTRIBUTION OF PROFITS.

Quinquennial investigation of profits.

116.—(1) The directors shall cause an actuarial investigation to be made into the financial condition of the company as at 31st December 1905 and quinquennially thereafter on such basis of valuation and by such methods as they may think fit and after making such provision as they shall think desirable for any special or other reserve fund shall determine the amount of profit (if any) to be declared divisible.

Intermediate investigations as to particular branches of business.

(2) The directors may if they see fit in any year intervening between any two successive years of quinquennial investigation cause a similar investigation to be made into the financial condition of any particular branch of the company's business and may determine the amount of profit (if any) to be divided in respect of that particular branch.

Shares of proprietors and policy holders in profits.

117.—(1) The proprietors shall be entitled to receive the whole of the divisible profits arising from the non-participation fund and also to receive one-tenth part of the divisible profits arising from the participation fund and the survivors' bonus fund respectively.

(2) The holders of participating policies ranking on the participation fund shall be entitled to receive the remaining nine-tenth parts of such profits arising from that fund and the holders of participating policies ranking on the survivors' bonus fund shall be entitled to receive the remaining nine-tenth parts of such profits arising from that fund.

Power to establish new funds.

118. In addition to the funds known respectively as the non-participation fund the participation fund and the survivors' bonus fund the directors may if they think fit establish other funds designated by such names and composed of such sums respectively as they may determine and in any such funds the share of the profits to which the proprietors shall be entitled shall be such as may be determined by the directors.

Mode &c. of distribution.

119. The share of profits divisible among the proprietors shall be distributed among them at such times and in such manner either by anticipation or otherwise as the directors may determine and the share of profits divisible among the participating policy holders shall be distributed among them at such times on such principles and by such methods either by anticipation (in the case of policies becoming claims between any two divisions of profits) or otherwise as the directors may from time to time determine.

Evidence of title to share of profits.

120. The directors before paying any share of profits may if the circumstances of the case appear to the directors to make it expedient require evidence by statutory declaration or otherwise as the directors think fit of the title of any person claiming a right to receive the same.

DIVIDENDS ON SHARES.

Declaration of dividends.

121. At each ordinary general meeting or at such other general meeting as the directors may from time to time determine the directors may with the sanction of such meeting thereupon declare what amount or rate of dividend shall be payable on the shares but no larger dividend shall be declared than may be recommended by the directors.

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122.—(1) All dividends declared on the shares shall be paid at such time or times as the directors may determine out of any moneys legally available for the purpose and such dividends may be paid in one amount or by instalments as the directors may from time to time determine. A.D. 1903.  


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Payment of dividend.

(2) The directors may from time to time pay such interim dividend on the shares as in their judgment the position of the company justifies.

(3) The directors cannot be required to allow executors or administrators of a deceased proprietor or their nominees or nominee to receive any dividends or bonus in respect of any share or shares until the share or shares shall have become vested in them or such nominees or nominee as the registered proprietors or proprietor thereof.

123. No dividend shall be payable except out of the profits of the company and no dividend shall carry interest as against the company. Dividend to be paid out of profits only and not carry interest.

124. The directors may retain any dividends on which the company has a lien and may apply the same in or towards satisfaction of the debts liabilities or engagements in respect of which the lien exists. Debts may be deducted.

125. The directors may retain the dividends payable upon shares in respect of which any person is under the transmission clause entitled to become a proprietor or which any person under that clause is entitled to transfer until such person shall become a proprietor in respect of such shares or shall duly transfer the same. Power to retain dividends on shares of deceased or bankrupt members.

126. In case several persons are registered as the joint holders of any share any one of such persons may give effectual receipts for all dividends and payments on account of dividends in respect of such share. Dividend to joint holders.

127. A transfer of shares shall not pass the right to any dividend declared thereon before the registration of the transfer. Transfers not to pass dividends declared before registration.

128. Notice of the declaration of any dividend whether interim or otherwise shall be given to the holders of registered shares in manner hereinafter provided. Notice of dividend.

129. Unless otherwise directed any dividend may be paid by cheque or warrant sent through the post to the registered address of the proprietor or person entitled or in case of joint holders to that one of them first named in the register in respect of the joint holding. Every such cheque shall be made payable to the order of the person to whom it is sent. Dividends payable by posted cheques.

#### ACCOUNTS.

130. The directors shall cause full true and plain accounts to be kept of all sums of money received and expended by the company and of the matters to which the receipts and expenditure relate and of the property assets and liabilities of the company. Accounts

131. A proprietor shall not have any right of inspecting any book document or account of the company except as authorised by any Act of Parliament or by these regulations or by the directors or by a resolution of a general meeting. Inspection of books &c.

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A.D. 1903. Committee of inspection. 132. If at any time a general meeting thinks fit to appoint a committee of inspection for the purpose of inspecting examining and reporting on the books of account of the company or any like purpose such committee shall have power to call for inspect and examine all the books documents and papers of the company and the directors and officers of the company shall afford to the members of such committee every information and facility for the performance of its duties.

Annual account and balance sheet. 133. At the ordinary general meeting in every year the directors shall lay before the company a revenue account and a balance sheet containing a summary of the property and liabilities of the company made up to the end of the last previous 31st day of December.

Annual report of directors. 134. Every such revenue account and balance sheet shall be accompanied by a report of the directors as to the state and condition of the company and as to the amount (if any) which they recommend to be paid by way of dividend to the proprietors.

AUDIT.

Accounts to be audited annually. 135. Once at least in or for every year ending on the 31st day of December the accounts of the company shall be examined and the correctness of the revenue account and balance sheet ascertained by one or more auditor or auditors.

Auditors. 136. The company at each ordinary meeting shall appoint an auditor or auditors to hold office until the next ordinary meeting and the following provisions shall have effect (that is to say) :—

- (1) If an appointment of an auditor is not made at any particular ordinary meeting the Board of Trade may on the application of any proprietor of the company appoint an auditor for the current year and fix the remuneration to be paid to him by the company for his services :
- (2) A director or officer of the company shall not be capable of being appointed auditor :
- (3) The directors may fill any casual vacancy in the office of auditor but while any such vacancy continues the surviving or continuing auditor or auditors (if any) may act :
- (4) The remuneration of the auditor or auditors shall be fixed by the company in general meeting except that the remuneration of any auditor appointed to fill any casual vacancy may be fixed by the directors :
- (5) Every auditor shall have a right of access at all times to the books and accounts and vouchers of the company and shall be entitled to require from the directors or officers of the company such information and explanation as may be necessary for the performance of the duties of the auditor and the auditor shall sign a certificate at the foot of the balance sheet stating whether or not all his requirements as auditor have been complied with and shall make a report to the

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proprietors on the accounts examined by him and on every balance sheet laid before the company in general meeting during his tenure of office and in every such report shall state whether in his opinion the balance sheet referred to in the report is properly drawn up so as to exhibit a true and correct view of the state of the company's affairs as shown by the books of the company and such report shall be read before the company in general meeting.

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137. Every account of the directors when audited and approved by a general meeting shall be conclusive except as regards any error discovered therein within three months next after the approval thereof. Whenever any such error is discovered within that period the accounts shall forthwith be corrected and thenceforth shall be conclusive.

When accounts to be deemed finally settled.

NOTICES.

138. A notice may be served by the company upon any proprietor either personally or by sending it through the post in a prepaid letter envelope or wrapper addressed to such proprietor at his registered place of address.

How notices to be served on proprietors.

139. Each holder of registered shares whose registered place of address is not in the United Kingdom shall from time to time notify in writing to the company an address in the United Kingdom which shall be deemed his registered place of address within the meaning of the last preceding clause.

Members resident abroad.

140. As regard those proprietors who have no registered place of address a notice posted up in the head office of the company shall be deemed to be well served on them at the expiration of twenty-four hours after it is so posted up.

Notice where no address.

141. Any notice required to be given by the company to the proprietors or any of them and not expressly provided for by these presents shall be sufficiently given if given by advertisement. Any notice required to be or which may be given by advertisement shall be advertised at least once in two London daily newspapers.

When notice may be given by advertisement.

142. All notices shall with respect to any registered shares to which persons are jointly entitled be given to whichever of such persons is named first in the register and notice so given shall be sufficient notice to all the holders of such shares.

Notice to joint holders.

143. Any notice sent by post shall be deemed to have been served on the day following that on which the letter envelope or wrapper containing the same is posted and in proving such service it shall be sufficient to prove that the letter envelope or wrapper containing the notice was properly addressed and put into the post office.

When notice by post deemed to be served.

144. Every person who by operation of law transfer or other means whatsoever shall become entitled to any share shall be bound by every notice in respect of such share which previously to his name and address being

Transferees &c. bound by prior notices.

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A.D. 1903. — entered on the register shall be duly given to the person from whom he derives his title to such share.

Notice valid though proprietor deceased.

145. Any notice or document delivered or sent by post to or left at the registered address of any proprietor in pursuance of these presents shall notwithstanding such proprietor be then deceased and whether or not the company have notice of his decease be deemed to have been duly served in respect of any registered shares whether held solely or jointly with other persons by such proprietor until some other person be registered in his stead as the holder or joint holder thereof and such service shall for all purposes of these presents be deemed a sufficient service of such notice or document on his heirs executors or administrators and all persons if any jointly interested with him in any such shares.

Signatures for company.

146. The signature to any notice to be given by the company may be written or printed.

PRINCIPAL OFFICE.

Principal office.

147. Unless and until the directors otherwise determine the principal office which shall also be the registered office of the company shall continue to be in the administrative county of London and the directors shall provide and maintain suitable buildings for the purposes of that office and of such other offices in the said county and elsewhere as they may from time to time think fit.

WINDING-UP.

Distribution of assets in specie.

148. If the company shall be wound up whether voluntarily or otherwise the liquidators may with the sanction of an extraordinary resolution divide among the contributories in specie any part of the assets of the company and may with the like sanction vest any part of the assets of the company in trustees upon such trusts for the benefit of the contributories as the liquidators with the like sanction shall think fit.

Service on London agents of members out of jurisdiction.

149. In the event of a winding-up of the company in England every member of the company who is not for the time being in England shall be bound within fourteen days after the passing of an effective resolution to wind-up the company voluntarily or after the making of an order for the winding-up of the company to serve notice in writing on the company appointing some householder in London upon whom all summonses notices process orders and judgments in relation to or under the winding-up of the company may be served and in default of such nomination the liquidators shall be at liberty on behalf of such member to appoint such person and service upon any such appointee whether appointed by the proprietor or the liquidators shall be deemed to be good personal service on such proprietor for all purposes and where the liquidators make any such appointment they shall with all convenient speed give notice thereof to such proprietor by advertisement in "The Times" newspaper or by a registered letter sent through the

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post and addressed to such proprietor at his address as mentioned in the register of members of the company and such notice shall be deemed to be served on the day following that on which the advertisement appears or the letter is posted. A.D. 1903.

INDEMNITY AND RESPONSIBILITY.

150. Every director trustee manager actuary secretary and other officer or servant of the company shall be indemnified by the company against and it shall be the duty of the directors out of the funds of the company to pay all costs losses and expenses which any such officer or servant may incur or become liable to by reason of any contract entered into or act or deed done by him as such officer or servant or in any way in the discharge of his duties including travelling expenses. Indemnity.

151. No director trustee or other officer of the company shall be liable for the acts receipts neglects or defaults of any other director trustee or officer or for joining in any receipt or other act for conformity or for any loss or expense happening to the company through the insufficiency or deficiency of title to any property acquired by order of the directors for or on behalf of the company or for the insufficiency or deficiency of any security in or upon which any of the moneys of the company shall be invested or for any loss or damage arising from the bankruptcy insolvency or tortious act of any person with whom any moneys securities or effects shall be deposited or for any loss or damage occasioned by any error of judgment or oversight on his part or for any other loss damage or misfortune whatever which shall happen in the execution of the duties of his office or in relation thereto unless the same happen through his own dishonesty. Individual responsibility of directors.

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Printed by EYRE and SPOTTISWOODE,  
FOR

T. DIGBY PIGOTT, Esq., C.B., the King's Printer of Acts of Parliament.

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